

AeroKart Logistics - Small Parcel Contract Policy Memo (Internal)

Purpose: Define policy guardrails for renegotiating FY2025 small-parcel rates (Base + Fuel + Accessorials).

Scope: Applies to small-parcel shipments billed through the three fulfilment sites (PHX1, DFW2, ATL3) in the 2024 invoice line extract.

Clause 1 (Decision Format): Finance requires a board-ready recommended fuel surcharge CAP expressed as a cents-per-package range, not a narrative.

Clause 2 (Service Reliability): Any change must preserve overall on-time performance $\geq 95.0\%$ (excluding Pilot).

Clause 3 (Fuel Index Benchmark): For FY2025 contracting, fuel adjustments must be normalized to a public gasoline benchmark (weekly U.S. regular retail).

Clause 4 (Accessorial Discipline): Remote Area and Oversize fees are negotiable only if supported by dimensional audit evidence.

Footnote A (Cap Logic): For Ground shipments only, the recommended fuel CAP should be based on the normalized FY2025 fuel level and must include a $\pm 2\%$ corridor for volatility.

Footnote B (Conflict): For NextDay shipments, a cap is not permitted; use pass-through fuel schedule instead (no CAP).

Clarification: When Footnote A conflicts with Footnote B, apply Footnote B to NextDay only; apply Footnote A to Ground and 2Day.

Data integrity note: Rows where Notes=='Pilot' are pilots/promotions; exclude from baselines and lever impacts.